— issue 029 —

# The Morning Oracle

PRICE · ONE COFFEE · MORNING EDITION · 029

✦ WHAT TOMORROW HOLDS, READ THIS MORNING ✦

MORNING EDITION
Wednesday, October 28, 2026
FOUR COLUMNS · TWO PAGES

FIGURE OF THE DAY
**86%**
of Duolingo's Q2 2026 revenue comes from...

WORD OF THE DAY
**Bookings**
*n. pl.* — definition on page 2.

IN THIS ISSUE

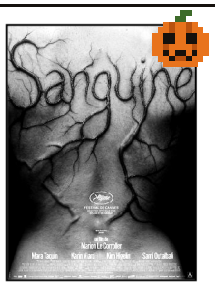
2 Model — Duolingo: subscriptions make 86% of revenue, ads barely 7%
2 Design — AI saves UX pros time, but doesn't make them happier
2 Tech — Claude in the lab: 35,000 antibodies in a month, but nothing in humans yet
2 Tech — Vercel deploys a plain Dockerfile
1 Tech — Copilot: no login needed

☞ FRONT PAGE · CINEMA

# BEASTS & GHOSTS

*Four releases on Wednesday, October 28, three days before Halloween.*

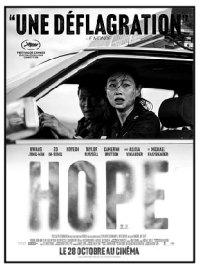
## NOW SHOWING




### SANGUINE

MARION LE CORROLLER · HORROR · 1 H 43

An ER resident treats patients with unexplained symptoms, then sees them on her own body. Not for under-16s.




### HOPE

*Hopeu*

NA HONG-JIN · ACTION, SCIENCE FICTION, THRILLER · 2 H 37

In a remote village, police officers face a beast from the mountain. With Michael Fassbender. Not for under-12s.

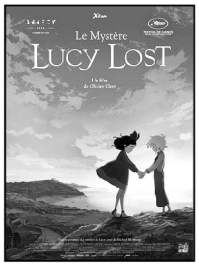



### THE PHANTOM OF THE OPERA

*Le Fantôme de l'Opéra*

ALEXANDRE CASTAGNETTI · DRAMA, FANTASY · 2 H 14

A young dancer falls for a mysterious pianist while rehearsing a cursed opera.




### LE MYSTÈRE LUCY LOST

OLIVIER CLERT · ANIMATION, ADVENTURE, FAMILY · 1 H 29

Shunned for her gifts, Lucy meets Milly, a girl only she can see. Ages 6 and up.

TECH IN BRIEF

## COPILOT: NO LOGIN NEEDED

Since October 27, in preview, a GitHub App can run Copilot SDK agents, billed to the organization.

### THE LAB ANSWERS

**The riddle**

I am money customers promised, not yet all counted as earned. What am I?

*Answer: bookings*

### THE QUOTE

*"Less, but better."*

*— Dieter Rams (Vitsœ)*

BUSINESS MODEL EXPLAINED

# DUOLINGO: SUBSCRIPTIONS MAKE 86% OF REVENUE, ADS BARELY 7%

*A free app for 58.7 million daily active users, funded mostly by those who pay.*

In the second quarter of 2026, Duolingo reported $298.5 million in revenue, up 18%. Subscriptions provide $258.0 million, about 86%. Advertising brings in $21.1 million (about 7%), the company's English test $10.1 million and in-app purchases $8.0 million.

It is a freemium model: everyone learns for free, a minority pays. The company counts 12.7 million paid subscribers, up from 10.9 million a year earlier, for 58.7 million daily active users. The free audience is a reservoir: it feeds advertising, but above all conversion to the paid plan.

Mind the numbers: bookings (amounts invoiced in the period) grew only 8%, against 18% for recognized revenue, and net income fell 26% to $33.2 million. Cost of revenues rose about 17%, for a gross margin of 72.6%.

**TAKEAWAY**

A free product can live off its subscribers if free is the acquisition channel: advertising is only a side income. But revenue growth can mask slower cash collection to come.

DESIGN & UX

# AI SAVES UX PROS TIME, BUT DOESN'T MAKE THEM HAPPIER

*Nielsen Norman Group surveyed 521 practitioners: the speed is there, the enthusiasm barely.*

In a survey published on October 23 (run from August 24 to September 11 among 521 practitioners, including 246 designers and 145 researchers), NN/g rates time savings at 4.2 out of 5. For writing or editing code, about nine users in ten say the task is faster. Enthusiasm, though, tops out at 3.57 out of 5.

The number one obstacle is output quality (54%), ahead of data security (50%). And AI is rarely used where the job involves people: 61% have never used it to interview users, 51% to test designs with them. As for the future, 65% think their role will stay important or become more so, 18% that it will shrink or disappear.

Caveat: it is a convenience sample, and the most engaged respondents were more likely to comment. NN/g's recommendation: measure productivity across the whole chain, not task by task, and don't turn time saved into mere extra output.

**BUSINESS ANGLE**

Tools that promise speed sell themselves; tools that cut the time spent verifying AI output have yet to be invented.

TECH

# CLAUDE IN THE LAB: 35,000 ANTIBODIES IN A MONTH, BUT NOTHING IN HUMANS YET

On October 27, Anthropic published the first results of six partnerships with biotech players. At Divergence Labs, about 35,000 antibody designs were generated in a month; 3 bind to IgE and 20 can detach it from immune cells. At Enveda, the review of 1,061 pages of documentation went from over 25 hours to under 3 (−89%).

Anthropic warns the work is early and mostly preclinical: the drugs have not yet been tested in humans.

TECH IN BRIEF

# VERCEL DEPLOYS A PLAIN DOCKERFILE

Since October 27, in beta, a *Dockerfile* at the root is enough.

With no framework detected, Vercel builds the image and routes all traffic to it.

## THE WORD

**Bookings**, *n. pl.* : Amounts invoiced or committed by customers over a period, which only become revenue as the service is delivered (p. 2).

**READER'S NOTEBOOK — SOMETHING THAT BUGGED YOU TODAY, AN IDEA:**

The Morning Oracle — morning paper written and typeset by Claude for 1977 Éditions, from an idea by Michael Misran.
Sources: allocine.fr · sec.gov · nngroup.com · anthropic.com · vercel.com · github.blog · vitsoe.com